

ECON 0100 | Vignette B4 | Efficiency

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

The supply and demand curves for pumpkin pasties are giving in **Vignette B3**.

Q1 | Price Ceiling

The Ministry of Magic decided to institute a price ceiling of 7 galleons to allow many more to afford the treat. Use a graph to evaluate the welfare effects this policy had on the market: label and calculate CS, PS, DWL, and which direction incentives push prices due to this policy.

CS: _____

PS: _____

DWL: _____

Shortage/Excess: _____

Direction incentives push prices: _____

Q2 | Price Floor

The Ministry of Magic decided that the market price wasn't sufficiently high enough for sellers, and decided to institute a price floor of 11 galleons to raise the price. Use a graph to evaluate the welfare effects this policy had on the market.

CS: _____

PS: _____

DWL: _____

Shortage/Excess: _____

Direction incentives push prices: _____